needed from the bank. He took a brief look at the credit card application, and then proceeded to give me a 45-minute sermon about the evils of debt, credit cards, and living beyond one's means. He actually went on to quote Shakespeare's *Hamlet*, "Neither a borrower nor a lender be, for loan oft loses both itself and friend, and borrowing dulls the edge of husbandry..." Basically, he hated debt and I had no cosigner. End of story.

As I later learned, my grandfather had experienced and still vividly remembered the calamitous events of 1929 and the ensuing economic depression that followed. In fact, the only time I heard him preach more fervently against a financial instrument, was when I asked him whether he had any money in the stock market. (If you can't guess, he didn't.)

As I discussed in Chapter 1, "You, Inc.," almost two-thirds of U.S. households have some form of debt on their personal balance sheet. It is hard to know how much of this debt has been incurred for good reasons, such as buying a house, starting a business, or getting a graduate degree, and how much debt is accumulating for the wrong reasons. Either way, the main message of this chapter is that debt that is properly utilized and managed can be a very effective component of your comprehensive financial strategy. The main problem with debt occurs when you are paying very high interest rates or using the funds to acquire assets that pay no dividends. But, borrowing money to invest in assets that are expected (although not guaranteed) to earn more than the interest rate you are paying on your loan, can be an excellent idea at all stages of the life cycle. The notion of using other people's (the bank's) money to invest, also known as leverage, is quite alluring and extremely lucrative. Indeed, you would recognize many of the names, such as Donald Trump, who can attribute a large part of their success to the concept of leverage. And so, with all due respect to my grandfather, I believe that careful, judicious leveraging is a sure way to grow wealth, although it does have its risks.

In this chapter, I provide an in-depth analysis of the mechanics of borrowing money for the purposes of investing, whether it be in a personal residence, general real estate, or even the stock market. My overall objective is to illustrate how the concept and existence of human capital relates to debt management and the optimal investment portfolio. At the end of the chapter, I provide some indication of how much debt is prudent at various stages of the human life cycle.